# Alphabet Inc. (GOOGL)

Watch list analysis, 2026-11-05 20:52 CET. Latest prices on 2026-11-05. Claude's notes updated 2026-11-05.

## 1. Summary

> **The business is the strongest it has been in years (revenue +25%, Google Cloud +103% in Q3), but the stock is not cheap. The GAAP P/E near 15x is an illusion: much of the last year's earnings are paper gains on the Anthropic and SpaceX stakes. On core earnings, with the stakes (about $15 a share after tax) taken out of the price, Alphabet trades at about 24x, in line with its 10-year median. View (report 17): wait, and buy below about $256 (22x core EPS plus the stakes), about 9% below today.**

| Price | Adjusted P/E, 12m | 10-year median P/E | Entry at 22x |
|---|---|---|---|
| **$285.64** | **24.7x** | **23.7x** | **$255.83**<br>10% below today's price |

- **Cheap:** not now; about 24x core earnings once the stakes are taken out of the price, in line with its 10-year median.
- **Strong:** about $240bn of cash against about $113bn of debt, revenue up about 25% and an operating margin near 32%.
- **Weak:** capital spending of about $130bn a year has turned the quarterly free cash flow margin negative (about -7% in Q3).
- **Uncertain:** whether AI search answers erode Search (still about half of revenue), and the size and value of the SpaceX and other private stakes that swing reported EPS.

## 2. The numbers

### Absolute values, latest 12 months

| Value | GOOGL |
|---|---|
| **Price and value** | |
| Share price | $285.64 |
| Market value | $3,511.66bn |
| DCF fair value | $149.39 |
| Cash flow before growth (DCF base) | $153.99bn |
| **Debt and cash** | |
| Total debt | $141.92bn |
| Net debt | $85.58bn |
| Short-term debt | $1.00bn |
| Long-term debt | $141.92bn |
| Cash | $265.10bn |
| **Earnings** | |
| Revenue (12m) | $471.10bn |
| EBITDA (12m) | $318.71bn |
| Net income (12m) | $235.69bn |
| EPS (12m) | $19.15 |
| Forward EPS | $15.49 |
| **Cash flow** | |
| Operating cash flow | $179.55bn |
| Capex | -$159.80bn |
| Free cash flow | $19.75bn |

### Absolute values by year (SEC filings; Yahoo where SEC has no figure)

| Value | FY2016 | FY2017 | FY2018 | FY2019 | FY2020 | FY2021 | FY2022 | FY2023 | FY2024 | FY2025 | Latest 12m |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Share price | $39.62 | $52.67 | $52.25 | $66.97 | $87.63 | $144.85 | $88.23 | $139.69 | $189.30 | $313.00 | $285.64 |
| Market value | – | – | – | – | – | – | $1,161.02bn | $1,777.14bn | $2,356.22bn | $3,827.99bn | $3,511.66bn |
| Cash flow before growth (DCF base) | – | – | – | – | – | $81.65bn | $78.30bn | $90.04bn | $109.99bn | $143.58bn | $153.99bn |
| Total debt | $3.94bn | $3.94bn | $3.95bn | $3.96bn | $14.93bn | $14.82bn | $14.70bn | $12.87bn | $14.18bn | $48.54bn | $141.92bn |
| Net debt | -$8.98bn | -$6.77bn | -$12.75bn | -$14.54bn | -$11.53bn | -$6.13bn | -$7.18bn | -$11.18bn | -$9.28bn | $17.84bn | $85.58bn |
| Short-term debt | $0.00bn | $0.00bn | $0.00bn | $0.00bn | $1.00bn | $0.00bn | $0.00bn | $1.00bn | $3.30bn | $2.00bn | $1.00bn |
| Long-term debt | $3.94bn | $3.94bn | $3.95bn | $3.96bn | $13.93bn | $14.82bn | $14.70bn | $11.87bn | $10.88bn | $46.55bn | $141.92bn |
| Cash | $12.92bn | $10.71bn | $16.70bn | $18.50bn | $26.46bn | $20.95bn | $21.88bn | $24.05bn | $23.47bn | $30.71bn | $265.10bn |
| Revenue (12m) | $90.27bn | $110.86bn | $136.82bn | $161.86bn | $182.53bn | $257.64bn | $282.84bn | $307.39bn | $350.02bn | $402.84bn | $471.10bn |
| EBITDA (12m) | – | – | – | – | – | $88.99bn | $88.32bn | $96.24bn | $127.70bn | $150.18bn | $318.71bn |

| Value | FY2016 | FY2017 | FY2018 | FY2019 | FY2020 | FY2021 | FY2022 | FY2023 | FY2024 | FY2025 | Latest 12m |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Net income (12m) | $19.48bn | $12.66bn | $30.74bn | $34.34bn | $40.27bn | $76.03bn | $59.97bn | $73.80bn | $100.12bn | $132.17bn | $235.69bn |
| EPS (12m) | $1.39 | $0.90 | $2.19 | $2.46 | $2.93 | $5.61 | $4.56 | $5.80 | $8.04 | $10.81 | $19.15 |
| Operating cash flow | $36.04bn | $37.09bn | $47.97bn | $54.52bn | $65.12bn | $91.65bn | $91.50bn | $101.75bn | $125.30bn | $164.71bn | $179.55bn |
| Capex | -$10.21bn | -$13.18bn | -$25.14bn | -$23.55bn | -$22.28bn | -$24.64bn | -$31.48bn | -$32.25bn | -$52.53bn | -$91.45bn | -$159.80bn |
| Free cash flow | $25.82bn | $23.91bn | $22.83bn | $30.97bn | $42.84bn | $67.01bn | $60.01bn | $69.50bn | $72.76bn | $73.27bn | $19.75bn |

## Ratios

| Measure | GOOGL | Rule or peer median |
|---|---|---|
| Net debt / EBITDA | 0.3x | ≤ 4.5x |
| EBITDA / interest | 103.6x | ≥ 4x |
| Cash / short-term debt | 265.1x | ≥ 1x |
| Cash / long-term debt | 186.8% | ≥ 5% |
| Revenue growth, average / median year | 12.5% / 13.9% | > 0 |
| EPS growth (GAAP), average / median year | 33.4% / 34.5% | > 0 |
| Net margin, 12 months | 50.0% | |
| P/E, trailing GAAP | 14.9x | peer median 21.1x |
| P/E, forward | 18.4x | |
| EV / EBITDA | 11.3x | peer median 16.1x |
| Free cash flow yield | 0.6% | |
| Price vs standard DCF fair value | +91.2% | < 0 is cheap |

## Strict screen: passes

| Must-have | GOOGL |
|---|---|
| market value >= $1bn | Pass |
| reliable US-dollar data | Pass |
| profitable (net income and EBITDA > 0) | Pass |
| cash covers short-term debt | Pass |
| cash >= 5% of long-term debt | Pass |
| net debt / EBITDA <= 4.5x | Pass |
| EBITDA / interest >= 4x | Pass |

## Weighted screen against peers: GOOGL ranks 1 of 8

| Company | Total | Debt (50%) | Profit and cash (25%) | Cheapness (25%) |
|---|---|---|---|---|
| **1. GOOGL** | **74.6** | **84.4** | **67.0** | **62.5** |
| 2. TTD | 69.8 | 68.8 | 50.9 | 90.6 |
| 3. MSFT | 62.5 | 74.6 | 57.1 | 43.8 |
| 4. META | 60.9 | 51.3 | 78.6 | 62.5 |
| 5. AMZN | 55.4 | 61.6 | 60.7 | 37.5 |
| 6. ORCL | 46.5 | 25.4 | 50.9 | 84.4 |
| 7. AAPL | 42.2 | 54.9 | 33.9 | 25.0 |
| 8. IBM | 31.9 | 16.5 | 50.9 | 43.8 |

Peers: MSFT, META, AMZN, AAPL, ORCL, IBM, PINS, SNAP, TTD. Growth required. Scores are percentiles within the peers that pass the base rules.

## DCF

| Standard DCF | |
|---|---|
| Cash flow before growth (OCF − D&A + after-tax interest) | $153.99bn |
| WACC (CAPM) | 10.7% |
| Growth forever | 2.5% |
| Fair value per share | $149.39 |
| Price vs fair value | +91.2% |
| Growth forever implied by today's price | 6.2% |

## 3. Analysis

### Adjusted P/E against its own 10-year history




| Year | Average price | Adjusted EPS | P/E |
|---|---|---|---|
| **Now (12m)** | **$285.64** | **$10.95** | **24.7x** |
| 2025 | $210.89 | $10.66 | 19.8x |
| 2024 | $163.81 | $8.05 | 20.3x |
| 2023 | $118.79 | $5.80 | 20.5x |
| 2022 | $114.76 | $4.55 | 25.2x |
| 2021 | $124.22 | $5.60 | 22.2x |
| 2020 | $73.95 | $2.94 | 25.2x |
| 2019 | $59.56 | $2.59 | 23.0x |
| 2018 | $56.10 | $1.99 | 28.2x |
| 2017 | $46.99 | $1.72 | 27.3x |
| 2016 | $38.16 | $1.56 | 24.5x |

Median of the yearly P/E: 23.7x over 10 years, 20.5x over the last 5.

Adjusted EPS: Yahoo's reported quarterly EPS (the basis analysts use, without amortization and one-offs), split-adjusted. Last four quarters, by report date: Feb 2026 $2.67, Apr 2026 $2.76, Jul 2026 $2.85, Oct 2026 $2.67. Full-year EPS is the trailing figure at the Q4 report; P/E uses the year's average price. The chart shows the daily price over the trailing adjusted EPS known that day. The 2026-02-04 quarter uses $2.67: excludes the $2.3bn gain on equity securities ($0.15 a share, Alphabet's figure). The 2026-04-29 quarter uses $2.76: excludes the $36.9bn gain on equity securities ($2.35 a share, Alphabet's figure). The 2026-07-22 quarter uses $2.85: excludes the $99.0bn gain on equity securities, mainly SpaceX ($6.26 a share, Alphabet's figure). The 2026-10-28 quarter uses $2.67: excludes the $8.7bn loss on equity securities ($0.55 a share, Alphabet's figure).

### Entry price

At 22x trailing adjusted EPS of $10.95 plus $14.93 a share of equity stakes (kept out of the P/E), the entry price is **$255.83**, 10% below today's price. The 10-year range of yearly P/E is 19.8x to 28.2x (years of collapsed earnings, such as 2020, show very high P/Es). Next report 2027-02-03 (EPS estimate $3.20); if met, the entry price becomes $267.49.

Target: Report 17 (2026-10-29), not yet confirmed by Babak: 22x core EPS ex-stakes, the 2023-2025 level with a discount for the capex and the dilution; the after-tax equity stakes (Anthropic, SpaceX, others: $14.93 a share at 30 Sep 2026) are added back, so the entry is about $259.

### Business

Alphabet owns Google Search and advertising, YouTube, Google Cloud, Android and Waymo. Q3 2026 revenue was about $127.6bn, up about 25% a year, in line with estimates; Search grew about 12%. Reported EPS swings with the marked value of its equity stakes (mainly SpaceX): gains added $2.35 a share in Q1 2026 and $6.26 in Q2, and a loss

took $0.55 off Q3. The adjusted EPS here leaves those out (see `eps_override` in the config), so the trailing figure is about $10.95, not Yahoo's $19.16. Following report 17, the after-tax value of the stakes ($14.93 a share at 30 September: Anthropic at its last round, SpaceX, other listed stakes) is also taken out of the price for the P/E and added back to the entry price.

### Risks

- **Capital spending:** the AI build-out (data centres, chips) is at a record and may not earn its cost.
- **Search disruption:** AI chat assistants compete for the queries that carry Search's advertising.
- **Regulation:** US and EU antitrust cases over Search and advertising technology.
- **Earnings quality:** large unrealized gains and losses on private stakes make GAAP EPS noisy.

### News

- 2026-11-05: about $285.5 (intraday), down about 2% as chip and AI stocks sold off; no company news.
- 2026-11-04: about $291.5 (intraday), up about 4.5% with the market; no company news.
- 2026-11-02: about $281 (intraday: since the US clocks changed on Nov 1, Wall Street closes at 22:00 Italy time, after this run), little changed; no company news. About 9% above the $256 entry.
- 2026-10-30: about $280 (-1.4%) as the Nasdaq fell about 3% on worries that AI spending will not pay off; a 52-week low is about $271. Wells Fargo cut its target from $417 to $371. Websites quoting a P/E near 14.5x use GAAP EPS, which includes the SpaceX gains; on adjusted EPS it is about 25.6x, or about 24x with the stakes taken out of the price.
- 2026-10-28: Q3 results: revenue in line, GAAP EPS of $2.12 against a $3.01 estimate after an $8.7bn loss on equity securities; free cash flow negative. The stock fell about 8% after hours, to about $300, and is about $286 today.
- 2026-07-22: Q2 EPS of $9.11 included a $99.0bn gain on equity securities, mainly SpaceX ($6.26 a share).
- 2026-04-29: Q1 EPS of $5.11 included a $36.9bn gain on equity securities ($2.35 a share).

### What to watch

- Q4 results around Feb 3, 2027, and the 2027 capital spending guidance.
- Free cash flow: whether it turns positive again as the new capacity starts earning.
- Google Cloud growth and margin, and Search growth as AI answers spread.

### Caveats

- Yahoo data is unofficial; capex can include acquisitions or stakes, so check SEC capex.
- The peer group is hand-picked, so the weighted scores depend on it.
- Claude's notes are dated above and may be older than the numbers.

Reproduce: `uv run python analysis/watchlist.py GOOGL`